



Foreign Corrupt Practices Act Compliance Policy

ACIST Medical Systems,
January, 2015

INTRODUCTION

U.S. Corporations or subsidiary companies seeking to do business in foreign markets must be familiar with the Foreign Corrupt Practices Act (FCPA). In general, the FCPA prohibits corrupt payments to foreign officials for the purpose of obtaining or keeping business. It is the policy of ACIST Medical Systems and its affiliates (collectively "ACIST or the "Company") to abide by all applicable provisions of the FCPA. ACIST provides each employee or Company representative who is involved in ACIST's foreign business with a copy of this policy.

I. Scope of FCPA

The Foreign Corrupt Practices Act (FCPA) of 1977 (as amended in 1988 and 1998) applies to all U.S. business entities and citizens, as well as to foreign entities and individuals doing business in the United States. In addition, U.S. businesses may be held liable for activities of their foreign operations that violate the FCPA if they authorize, direct or control such activities, and if the company's transactions are not correctly reflected in all financial records and statements.

II. Anti- Bribery Provision

Under the FCPA, a "U.S. Person" is precluded from corruptly offering or giving money or other things of value to a "foreign official" for the purpose of:

- Influencing any act or decision of such foreign official in his official capacity,
- Inducing such foreign official "to do or omit to do" any act in violation of the lawful duty of such official,
- Inducing such official to use his or her influence with a foreign government or instrumentality thereof to affect or influence any governmental act or decision, or
- Securing any improper advantage or obtaining or retaining business.

Note: ACIST's employees, consultants, representatives and agents including without limitation third party distributors and/ or any entity or person acting on behalf of ACIST, are prohibited from giving any gift or payment or offering of anything of value to a foreign official, political party, or official thereof without prior approval. The only exceptions apply to the following:

- Meals that must be:
 - Not lavish or extravagant,
 - Directly related to the promotion, demonstration, or explanation of products and services or the execution or performance of a contract with a foreign government official,
 - Permitted under local law, and
 - Consistent with ACIST's Code of Business Conduct and Ethics.
- Expenditures related to the promotion, demonstration, or explanation of Company products and services (e.g., receptions, trade shows, and demonstrations) or the execution or performance of a contract with a foreign government are permissible provided that they are:
 - Bona fide and reasonable expenditures,
 - Consistent with ACIST's Code of Business Conduct and Ethics and business practices, and
 - Permitted under local law.
- Facilitating payments to expedite or secure the performance of "routine governmental action" are exempt (see, "Exempt Activities" below).

If an employee or Company representative is uncertain as to whether proposed activities are exempt under the above referenced conditions, he or she should contact the Legal Department prior to performing any such activities.

Except under the aforementioned conditions, ACIST, has a "no gratuities" policy for foreign officials.

III. Definitions

U.S. Persons:

- U.S. Citizen, national, resident, corporation or business entity organized under the laws of any U.S. State or territory, and business entities with their principal place of business in the U.S.
- Any stockholder acting on behalf of an ACIST business entity.
- Officers, directors, employees, agents, and stockholder of ACIST, are considered a “U.S. Person” for purposes of the law.
- Non U.S. Companies and nationals who act in furtherance of such corrupt payment in the United States.

Foreign Official:

- Any officer or employee of a foreign government or any department or agency or any person acting in an official capacity for or on behalf of any such government, department or agency.
- May include officers and employees of state-owned enterprises.
- Includes political parties and candidates.
- Includes officers or employees of public international organizations such as the United Nations or The World Bank.

Note: The definition of “foreign official” is very broad. Specifically, payments to any public official, regardless of rank or position, are prohibited, as are payments to third party intermediaries (e.g., representatives or consultants) if the payments will be used by the third party for activities prohibited by the FCPA. As a result, any payments made by ACIST or on its behalf (whether directly or through a foreign subsidiary or joint venture) must be pursuant to a written agreement that has been approved in advance by the Legal Department.

IV. Exempt activities

Facilitating payments to expedite or secure the performance of “routine governmental action” are exempt from the FCPA. Listed below are examples of what is included under “routine governmental action”;

- Obtaining permits, licenses, or other official documents to qualify a person to do business in a foreign country.
- Processing governmental paperwork (e.g., visas, work orders).
- Providing police protection or mail pickup and delivery.
- Scheduling inspections associated with contract performance or related to cross-country transit of goods.
- Providing phone service, power, and water supply.
- Loading and unloading cargo or protecting perishable products or commodities from deterioration.

Even though the above practices may not be subject to the FCPA, ACIST will not permit its employees or agents to make facilitating payments that are prohibited by local law. In addition, any facilitating payments, even if lawful, must be approved in accordance with Finance Department procedures.

V. Third Party Educational Conference Support and Research Grants

The following types of activities may pose a risk of FCPA violations. If an employee or Company representative believes a violation has occurred or is uncertain about whether any activities may pose a risk of violation, he or she must immediately contact the Legal Department.

- Money or property passed through a consultant, representative or agent, including without limitation third party distributors, to a public official to obtain certain government actions.
- Use of consultant or representatives who are closely connected with the government or a political party of the country in which the Company is doing business.

- Gifts or gratuities to government officials or political party officials, candidates for public office, or their families.
- Extravagant entertaining of government officials or party leaders or their families.
- Indirect payments to government officials or their families.
- Use of Company facilities by such government officials.
- Negative information (flawed) background is discovered as a part of due diligence.
- Representative refuses to make FCPA- related certification.
- Request for unusually large commissions, retainers, or other fees.
- Unusual method of payment or payment to a third country proposed by a representative.
- Retention of a contingent fee representative when procurement decision is imminent.
- Commission payments are being made outside the country in which services are being rendered.
- A party to the transaction has undisclosed subagents or subcontractors who assist in the work.
- There is a lack of transparency in expense reporting and accounting records.

Note: "Willful blindness" or a disregard of suspicious circumstances will not protect businesses or individuals from sanctions for FCPA violations.

VI. Sanctions for violating the FCPA

The consequences for a violation of the FCPA anti-bribery provisions are extremely severe, both for business and individuals.

- Maximum criminal fine for a corporation is the greater of \$2 million dollars or twice the pecuniary gain to the violator.
- Maximum criminal fine for individuals is \$100,000 per violation and imprisonment for up to 5 years for each violation.
- A criminal fine imposed on a corporate employee or representative may not be paid directly or indirectly by the Company.
- Civil penalty of \$10,000 may be imposed against any firm as well as any officer, director, employee, or agent of a firm, or stockholder acting on behalf of the firm.
- A willful violation of the provisions of FCPA, or making false and misleading statements in any application, report, or document or to any self-regulatory organization may give rise to additional criminal penalties.
- Suspension or debarment from participating in government contracts.
- Ineligibility of export licenses.



VII. The OECD anti-bribery convention

The FCPA implements the obligations of the United States under the 1999 Anti-Bribery Convention of the Organization for Economic Co-operation and Development (OECD). Many other member countries have adopted similar legislation. Thus, ACIST personnel should be aware of, and abide by, local anti-bribery laws in the countries in which ACIST does business. Questions about foreign anti-bribery laws should be referred to ACIST's Legal Department.

VIII. Inspections and audits.

ACIST reserves the right to conduct inspections and audits to confirm compliance with this policy and the FCPA.

IX. Acknowledgment and certification

After you have read this policy, please complete the attached Acknowledgment and Certification Form and return to the ACIST Human Resources Department. A signed receipt of this form will be maintained in each employee's personnel record.